CHAPTER **2**

The Environments of Organizations and Managers

Learning Outcomes

After studying this chapter, you should be able to:

2-1 Discuss the nature of an organization's environments and the components of its general, task, and internal environments.

2-2 Describe managerial ethics and the ethical environment of management.

2-3 Discuss the concept of social responsibility.

2-4 Discuss the international environment of management.

2-5 Describe the importance and determinants of an organization's culture.

Organizations exist for a variety of reasons. Some pursue profits. Others exist to serve the public good. But regardless of its purpose or mission, any organization must be properly aligned with its environment if it is to be effective. Of course, there are disparate views on how this alignment should be achieved and how an organization can legitimately pursue and then use revenues or profits. Some companies aggressively seek to maximize their profits, grow at any cost, and focus on nothing but what is best for the company. Others take a much different approach to business and actively work for the betterment of society, even when it means less profit for the owners. Clearly, then, the environmental context of business today is changing in unprecedented—and often unpredictable—ways.

Management in Action

Turbulence In the Air

"This airplane is designed by clowns who in turn are supervised by monkeys."

—Unnamed Boeing employee in company email

Boeing is among the world's largest aerospace companies and the largest defense contractor in the world. The firm designs and manufactures airplanes, rotocraft (helicopter-type aircraft), rockets, satellites, telecommunications equipment, and missiles worldwide. Boeing is also the largest U.S. exporter based on dollar value. Most members of the general public, though, know Boeing primarily and simply as a large manufacturer of commercial airplanes. In a good year Boeing generates over $95 billion in revenue and $9–10 billion in profits.

Boeing planes that are popular today include the 737, 767, 777, and 787. These planes are sold to airlines around the world and are used by dozens of major airlines. Boeing is also known for the iconic 747, once the world's largest passenger plane. Today, though, the 747 has been taken out of service by most passenger airlines and is primarily used for cargo. The 737 is the firm's best-selling plane and among the top-selling commercial jets in aviation history. In 2010, however, Boeing's primary competitor, Airbus, announced a major new product, the A320 family of planes, designed to be much more fuel and operationally efficient than existing planes. Boeing quickly realized that the A320 posed a significant threat and felt a strong competitive urgency to follow suit. And indeed, it was with great fanfare that Boeing announced the latest (fourth) version of the 737 in 2011. The appeal of the new generation of 737s was to be a combination of increased passenger capacity and much lower fuel costs. The firm initially budgeted $3 billion for research and development costs.

Dubbed the 737 MAX, the new plane took its maiden voyage in 2016 and received final Federal Aviation Administration (FAA) certification in 2017. Interestingly, during the plane's development Boeing had pushed the FAA for quick approvals and the government regulatory agency actually delegated some of the review processes to Boeing itself, effectively allowing the firm to review its own products. The plane was an instant hit and Boeing quickly secured orders for almost 5,000 of the new planes. The first two planes were delivered to overseas airlines and then the next batch was delivered to Southwest Airlines in 2017. After one year Boeing had delivered 137 737 MAXs to 28 airlines in several countries. (In keeping with standard practice, the 737 MAX is available in three configurations, the 7, 8, and 9, each with different seating capacities.)

Unfortunately, though, disaster soon struck. A MAX 8 crashed in October 2018 and another crashed in March 2019, resulting in 346 deaths. Aviation authorities around the world quickly grounded all 737 MAXs while investigations were conducted into the cause(s) of these two crashes.

The initial problem was soon discovered. The new 737 series planes were built with a new enhanced navigation system. One part of this system was programmed to take control of the plane and force it into a nosedive under certain emergency conditions. However, details about this part of the enhanced navigation system were omitted from both technical flight manuals and flight crew training programs. Complicating things even more, the system could be unnecessarily activated if a single sensor failed and pilots were not informed of how to override it if it was activated. As Boeing and the FAA investigated more fully, however, it was also learned that there were other technical, mechanical, and electronic problems with the 737 MAX series and production of new planes was halted until these problems could be fixed. In December 2019 Boeing fired its CEO because of his handling of the crisis and estimated that it would incur costs of nearly $20 billion for litigation and compensation for the crashes, reworking the planes, and penalty payments to airlines for not being able to meet delivery schedules. Boeing also announced that no new 737s would be produced until at least late 2020.

As all of these events unfolded, other problems began to surface. For one thing, there seemed to be some evidence that Boeing was aware of the problems with the new planes for at least a year before the first crash. Boeing's board of directors was also criticized for lack of oversight and ineffective corporate governance. Further compounding the problem, Boeing was forced to release documents that showed numerous derogatory emails sent between Boeing employees about the design of the MAX series, about the FAA, and about poor training being provided to pilots. All things considered, these events have painted Boeing in a very poor light and public relations experts suggest it may take the firm years to improve its image and reputation.

History, unfortunately, provides an unflattering view of Boeing and its ethical context. Over the past few decades the firm has pled guilty to numerous instances of questionable conduct. These include:

- 1989: pled guilty and paid a fine for corporate espionage
- 1994: paid a fine to settle charges for overcharging the government

- 2000: paid a fine to settle two whistleblower complaints about using defective components in helicopters
- 2003: paid a fine for corporate espionage
- 2004–2020: paid several fines for overcharging the government

Boeing has also been fined numerous times for environmental damages, for improper labor practices, and for violating numerous export rules and laws.

Looking ahead, as noted earlier, Boeing fired its CEO in December 2019. His departure package included around $62 million in compensation and pension benefits. The new CEO, David Calhoun, received a $10 million signing bonus, a base salary of $1.4 million, another $2.5 million in bonuses tied to various financial targets, and additional potential bonuses tied to getting the 737 MAX back on track and fixing other problems. One industry expert said, "Putting in place a world-class leader like Dave at the helm of Boeing is good for the company and important to the country." Not everyone was impressed, though. Another industry expert noted, "He seems like a capable manager, but he was on the board when all the decisions [about the 737 MAX] were made." To state the obvious, going forward many people will be paying close attention to what happens next at Boeing.[1]

2-1 THE ORGANIZATION'S ENVIRONMENTS

As we noted in Chapter 1, managers must have a deep understanding and appreciation of the environments in which they and their organizations function. Without this understanding, they are like rudderless ships—moving along, but with no way of maneuvering or changing direction. The **external environment** is everything outside an organization's boundaries that might affect it. It is actually most helpful, though, to talk about two separate external environments: the **general environment** and the **task environment**. An organization's **internal environment** consists of conditions and forces within the organization.

external environment Everything outside an organization's boundaries that might affect it

general environment The set of broad dimensions and forces in an organization's surroundings that determines its overall context

task environment Specific organizations or groups that affect the organization

internal environment The conditions and forces within an organization

economic dimension The overall health and vitality of the economic system in which the organization operates

2-1a The General Environment

Each of the following dimensions embodies conditions and events that have the potential to influence the organization in significant ways.

The Economic Dimension The **economic dimension** of an organization's general environment is the overall health and vitality of the economic system in which the organization operates.[2] Particularly important economic factors for business are general economic growth, inflation, interest rates, and unemployment. After several strong years of growth, the U.S. economy fell into recession during 2008 and only began to recover from it in 2012. During this period, energy and related prices jumped, business and economic growth slowed dramatically, and unemployment mushroomed as one struggling business after another made workforce cuts. As the economy began to recover in 2013, though, prices stabilized, businesses began to grow again, and unemployment began to decline as companies again started to hire new employees. By 2019 unemployment was approaching record lows and some businesses had trouble finding new employees. However, during the COVID-19 pandemic in 2020 many businesses laid off thousands of workers due to the overall economic slowdown. As a result, unemployment surged.

Consider how these factors affect an organization like McDonald's. When unemployment is low, McDonald's may have difficulty hiring new employees because higher-paying full-time jobs are available elsewhere. But at the same time more people may be eating at McDonald's because of its low prices. Similarly, low inflation means that the prices McDonald's must pay for its supplies remain relatively constant, but it also is somewhat constrained from increasing the prices it charges consumers for a hamburger or milkshake. The economic dimension is also important to nonbusiness organizations. For example, during weak economic conditions, funding for state universities may drop, and charitable organizations such as the Salvation Army are asked to provide greater assistance at the same time that their incoming contributions dwindle. Similarly, hospitals are affected by the number of uninsured patients who come to their emergency rooms for treatment.

"If you manage the business well throughout the good times, then the bad times are not quite as pronounced or profound. But it's actually more difficult to manage during the good times."

—William Weldon, Former Ceo of Johnson & Johnson[3]

The Technological Dimension The **technological dimension** of the general environment is made up of the methods available for converting resources into products or services. Although technology is applied within the organization, the forms and availability of that technology come from the general environment. Computer-assisted manufacturing and design techniques, for example, allow Airbus to simulate the more than three miles of hydraulic tubing that runs through its new A320 aircraft. The results include decreased warehouse needs, higher-quality tube fittings, lower labor costs, and major time savings. Although some people associate technology with manufacturing firms, it is also relevant in the service sector. For example, just as an automobile follows a predetermined path along an assembly line as it is built, a hamburger at McDonald's follows a predefined path as the meat is cooked, the burger assembled, and the finished product wrapped and bagged for a customer. And the company has installed kiosks in many of its stores so that customers can place orders on a touch screen and pay without having to stand in line. The rapid infusion of web-based technologies into all areas of business also reflects the technological dimension. Another recent advancement is the rapid growth of integrated business software systems. Relatively new approaches to communication, ranging from social media to hardware, are also influencing businesses in many different ways.

technological dimension
The methods available for converting resources into products or services

political–legal dimension
The government regulation of business and the relationship between business and government

The Political–Legal Dimension The **political–legal dimension** of the general environment consists of government regulation of business and the relationship between business and government. This dimension is important for three basic reasons. First, the legal system partially defines what an organization can and cannot do. Although the United States is basically a free-market economy, major regulation of business activity still exits. McDonald's, for example, is subject to a variety of political and legal forces, including food preparation standards and local zoning requirements.

Second, pro- or anti-business sentiment in government influences business activity. For example, during periods of pro-business sentiment, firms find it easier to compete and have fewer concerns about antitrust issues. On the other hand, during a period of anti-business sentiment, firms may find their competitive strategies more restricted and have fewer opportunities for mergers and acquisitions because of antitrust concerns. During the prolonged period of economic growth that ended in 2008, the U.S. government adopted a very "hands-off" approach to business, letting market forces determine business successes and failures. However, as the economy ground

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Most people associate the word *technology* with *tangible* products such as airplanes, smartphones, and so forth. But technology also applies to service organizations as well. Take this food service operation, for instance. Workers are preparing and serving food using assembly-line technology pioneered in the manufacturing sector.

to a halt in 2008 and first one and then another industry began to stumble, critics began to point to lack of regulation and oversight as contributing factors. As a result, lawmakers began to take a much more pronounced interest in adopting new and stricter regulations for business.[4] During the administration of President Donald Trump, though, regulations were again rolled back, especially those that had been imposed for purposes related to environmental protection.

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McDonald's has historically competed with other hamburger chains such as Burger King and Wendy's. Recently, though, it has also taken on Starbucks with its line of McCafe premium coffee products and its more casual and comfortable in-store seating areas.

Finally, political stability has ramifications for planning. No business wants to set up shop in another country unless trade relationships with that country are relatively well defined and stable. Hence, U.S. firms are more likely to do business in Germany, Mexico, and Canada than in Syria and Afghanistan. Similar issues are relevant to assessments of local and state governments. A new city council or governor can affect many organizations, especially small firms that do business in only one location and are susceptible to deed and zoning restrictions, property and school taxes, and the like.

2-1b The Task Environment

Because the general environment's impact is often vague, imprecise, and long term, most organizations tend to focus attention on their task environment, which includes competitors, customers, suppliers, strategic partners, and regulators. Although the task environment is also quite complex, it provides useful information more readily than the general environment because the manager can identify environmental factors of specific interest to the organization, rather than deal with the more abstract dimensions of the general environment.[5] Figure 2.1 illustrates the task environment of McDonald's.

competitor
An organization that competes with other organizations for resources

Competitors An organization's **competitors** are other organizations that compete with it for resources. The most obvious resources that competitors vie for are customer dollars. Nike and Under Armour are competitors, as are Albertson's, Wegmans, Safeway, and Kroger. McDonald's competes with other fast-food operations, such as Burger King, Wendy's, Subway, and Dairy Queen; it has also taken on Starbucks with its McCafe line of premium coffee products. But competition also occurs between substitute products. Thus, Ford competes with Yamaha (motorcycles), Schwinn (bicycles), and various public transportation systems for your transportation dollars; and Walt Disney World, Carnival Cruise Lines, and the National Park system compete for your vacation dollars. Nor is competition limited to business firms. Universities compete with trade schools, the military, other universities, and the external labor market to attract good students; and art galleries compete with one another to attract the best collections and exhibits.

customer
Whoever pays money to acquire an organization's products or services

Customers A second dimension of the task environment is **customers** or whoever pays money to acquire an organization's products or services. Most McDonald's customers are individuals who buy food. But customers need not be individuals. Schools, hospitals, government agencies, wholesalers, retailers, and manufacturers are just a few of the many kinds of organizations that may be major customers of other organizations. Some institutional customers, such as schools, prisons, and hospitals, also buy food in bulk from restaurants such as McDonald's.

supplier
An organization that provides resources for other organizations

Supplier **Suppliers** are organizations that provide resources for other organizations. McDonald's buys soft-drink products from Coca-Cola; individually packaged servings of

regulator
A body that has the potential to control, legislate, or otherwise influence the organization's policies and practices

regulatory agencies
An agency created by the government to regulate business activities

FIGURE 2.1

McDonald's Task Environment

An organization's task environment includes its competitors, customers, suppliers, strategic partners, and regulators. This figure clearly highlights how managers at McDonald's can use this framework to identify and understand their key constituents.

J. P. Moczulski/AFP/Newscom

Organizations can serve a variety of different kinds of customers. For example, customers can be individuals, the government, or other businesses. This pizza delivery person, for example, is dropping off pizzas for the staff of a hospital emergency room.

salt, pepper, and ketchup from various suppliers; Big Mac ingredients from wholesale food processors; and napkins, sacks, and sandwich wrappers from packaging manufacturers. Besides material resources such as these, businesses also rely on suppliers for information (such as economic statistics), labor (in the form of employment agencies), and capital (from lenders such as banks). Some businesses strive to avoid depending exclusively on particular suppliers. Others, however, find it beneficial to create strong relationships with single suppliers. One of the most significant economic "ripple" effects of the COVID-19 virus pandemic in 2020 was its impact on global supply chains.

Regulators **Regulators** are elements of the task environment that have the potential to control, legislate, or otherwise influence an organization's policies and practices. There are two important kinds of regulators. **Regulatory agencies** are created by the government to protect the public from certain business practices or to protect organizations from one another. Powerful federal regulatory agencies include the Environmental Protection Agency, the Securities and Exchange Commission (SEC), the Food and Drug Administration

(FDA), and the Equal Employment Opportunity Commission. Many of these agencies play important roles in protecting the rights of individuals. The FDA, for example, helps ensure that the food is free from contaminants; thus, it is an important regulator for McDonald's and Starbucks. There are also numerous state, regional, and local regulatory agencies that also affect businesses. Perhaps not surprisingly, some managers complain that there is too much government regulation. Most large companies must dedicate thousands of labor hours and hundreds of thousands of dollars a year to comply with government regulations. To complicate managers' lives even more, different regulatory agencies sometimes provide inconsistent—and even contradictory—mandates.

interest group
A group organized by its members to attempt to influence organizations

The other basic form of regulator is the **interest group**. Prominent interest groups include Mothers Against Drunk Driving (MADD), the National Rifle Association (NRA), the League of Women Voters, the Sierra Club, Ralph Nader's Center for the Study of Responsive Law, Consumers Union, and industry self-regulation groups such as the Council of Better Business Bureaus. Although interest groups lack the official power of government agencies, they can exert considerable influence by using the media to call attention to their positions. MADD, for example, puts considerable pressure on alcoholic-beverage producers (to put warning labels on their products), automobile companies (to make it more difficult for intoxicated people to start their cars), local governments (to stiffen drinking ordinances), and bars and restaurants (to refuse to sell alcohol to people who are drinking too much).

strategic partner
(also called *strategic ally*) An organization working together with one or more other organizations in a joint venture or similar arrangement

Strategic Partners Another dimension of the task environment is **strategic partners** (also called *strategic allies*)—two or more companies that work together in joint ventures or other partnerships.[6] As shown in Figure 2.1, McDonald's has several strategic partners. For example, it has one arrangement with Walmart whereby small McDonald's restaurants are built inside some Walmart stores. The firm also has a long-term deal with Disney: McDonald's promotes Disney movies in its stores, and Disney has allowed McDonald's to open restaurants near its resorts. And many of the firm's foreign stores are built in collaboration with local investors. Strategic partnerships help companies get from other companies the expertise they lack. The partnerships also help spread risk and open new market opportunities. Indeed, most strategic partnerships are actually among international firms. For example, Nestlé (a Swiss company) and General Mills (a U.S. company) have a global alliance called Cereal Partners Worldwide, or CPW. When the new venture was launched in 1991 General Mills provided brand recognition and propriety cereal-processing techniques, while Nestlé provided global distribution channels and marketing expertise. Today CPW markets cereals and other breakfast foods in over 130 countries.

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McDonald's and Walmart have a strategic partnership. Under the terms of this partnership McDonald's owns and operates restaurants inside many Walmart stores. This "Golden Arches" restaurant, for example, is inside a Walmart store.

2-1c The Internal Environment

Organizations also have an internal environment that consists of their owners, boards of directors, employees, and physical work environment. (Another especially important part of the internal environment is the organization's culture, discussed separately later in this chapter.)

owner
Whoever can claim property rights to an organization

Owners The **owners** of a business are, of course, the people who have legal property rights to that business. Owners can be a single individual who establishes and runs a small business, partners who jointly own the business, individual investors who buy stock in a corporation, or other organizations. McDonald's has 764 million shares of stock, each of which represents one unit of ownership in the firm. The family of McDonald's founder Ray Kroc stills owns a large block of this stock, as do several large institutional investors. In addition, there are thousands of individuals who own just a few shares each. McDonald's, in turn, owns other businesses. For example, it owns several large regional bakeries that supply its restaurants with buns. Each of these is incorporated as a separate legal entity and managed as a wholly owned subsidiary by the parent company. McDonald's is also a partner in some Russian farms that grow potatoes to supply regional restaurants with french fries.

board of directors
Governing body that is elected by a corporation's stockholders and charged with overseeing the general management of the firm to ensure that it is being run in a way that best serves the stockholders' interests

Board of Directors A corporate **board of directors** is a governing body that is elected by the stockholders and charged with overseeing a firm's general management to ensure that it is run to best serve the stockholders' interests. Some boards are relatively passive: They perform a general oversight function but seldom get actively involved in how the company is really run. But this trend is changing, as more and more boards are carefully scrutinizing the firms they oversee and exerting more influence over how they are being managed. This trend has been accelerated by numerous recent business scandals. In some cases, board members have been accused of wrongdoing. In other cases, boards have been found negligent for failing to monitor the actions of the firm's executives. At issue is the concept of corporate governance—who is responsible for governing the actions of a business? McDonald's has a board of directors composed of 13 members. This board includes three inside members (full-time executives of the firm) and ten outside members (individuals who do not work directly for the firm). This presumably allows decisions to be made in ways that protect the interests of diverse stakeholders.

Employees An organization's employees are also a major element of its internal environment. Of particular interest to managers today is the changing nature of the workforce, which is becoming increasingly more diverse in terms of gender, ethnicity, age, and other dimensions. Workers are also calling for more job ownership—either partial ownership in the company or at least more say in how they perform their jobs.[7] Another trend in many firms is increased reliance on temporary workers—individuals hired for short periods of time with no expectation of permanent employment. Employers often prefer to use "temps" because they provide greater flexibility, earn lower wages, and often do not participate in benefits programs. In 2019 the United Auto Workers went on strike against General Motors, demanding more job security and a clearer path to permanent employment for temporary workers. But these managers also have to deal with what often amounts to a two-class workforce and with a growing number of employees who have no loyalty to the organization where they work because they may be working for a different one tomorrow.[8] Our *Doing Business on Planet Earth* feature highlights an interesting twist on how one company is succeeding by providing its employees with some unusual perks.

Physical Work Environment A final part of the internal environment is the organization's actual physical environment and the work that people do. Some firms have their facilities in downtown skyscrapers, usually spread across several floors. Others locate in suburban or rural settings and may have facilities more closely resembling a college campus. Some facilities have long halls lined with traditional offices. Others have modular cubicles with partial walls and no doors. Pitney Bowes Credit Corporation remodeled its offices to create something like an indoor theme park with cobblestone-like carpet, a town square clock, a café, and a diner.

DOING BUSINESS ON PLANET EARTH

Raising the CSR Bar

To celebrate a recent company anniversary, Clif Bar & Co., a maker of organic nutrition foods and beverages, gave all of its employees—more than 250 of them— new bicycles. It may not be the workplace perk for everyone, but it caught the eye of Leon Kaye, a consultant specializing in corporate social responsibility (CSR). Kaye put the company's bicycle giveaway on his list of the year's "Top 10 Employee Engagement Strategies."

As a matter of fact, bicycles figure prominently in Clif Bar's "Cool Commute" program: Employees can take advantage of financial incentives for riding their bicycles to work, and those who missed out on a free bike can still get a $500 stipend toward the purchase of one. Other programs provide incentives for buying fuel-efficient cars and making eco-friendly home improvements. In turn, the "Cool Commute" program reflects two of Clif Bar's five core values—"Sustaining Our Planet" and "Sustaining Our People." The company is also committed to sustaining its community, business, and brands and, taken together, these five values constitute its "Five Aspirations."

Kit Crawford, who co-owns Clif Bar with husband Gary Erickson, stresses "the interconnectivity of the Five Aspirations," which, as she's also quick to point out, serve as the company's "five bottom lines." "Gary and I," she says, "use these bottom lines . . . as a measurement of our return on investment," and all five are "of equal importance" in determining how well the company is using its resources to achieve its goals. In addition, says Crawford, the five commitments ensure that "our people have a clear understanding of Clif Bar's values." By providing a clear "decision-making framework," they also guide employees in "exploring, creating, and launching ideas that are in tune with the company's priorities." Finally, they figure into each employee's annual review: "Our people," explains Crawford, "receive specific feedback on their contributions to each of the Five Aspirations. . . . These assessments determine each employee's bonus for the year."

The company itself works out of a state-of-the-art solar-powered facility in Emeryville, California, where 80 percent of the waste is reused or recycled. There's even a staff ecologist on the payroll. For founder Gary Erickson, the goals of sustaining the planet and sustaining his company's people are inseparable threads in a single fabric of socially responsible leadership: "We want to sustain a business," he says, "where people can live, not just make a living. We believe that if we provide meaningful work as well as something beyond work, people will do their jobs well and lead healthier, more balanced lives."

Clif Bar thus maintains an elaborate wellness program that encourages employees to get out and enjoy the natural environment that they're working to sustain. Employees who've been with the company for seven years, for instance, can take six to eight weeks of paid sabbatical, and the Emeryville facility boasts an in-house fitness center where employees can get paid time off to work out under the guidance of full-time personal trainers.

How has all of this socially responsible conduct affected the bottom line—that is, the bottom line that is typically defined as how much money a company makes? In 1992, its first year of business, Clif Bar had $700,000 in sales. That figure doubled every year up to 1997, when sales hit $20 million. Since then, the company has continued to grow rapidly ("stratospherically," as Kaye would have it), achieving a remarkable compounded annual growth rate of 23 percent in the 10 years from 2002 until 2011, when sales reached $340 million. A year later, sales topped $500 million and by 2019 topped $6.2 billion.

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Increasingly, newer facilities have an even more open arrangement, where people work in large rooms, moving among different tables to interact with different people on different projects. Freestanding computer workstations are available for those who need them, and a few small rooms might be off to the side for private business.

Employee safety and health regulations have caused many organizations to pay more attention to their internal environment. This concern, in turn, has also fostered new business opportunities. Rebecca Boenigk, founder and CEO of Neutral Posture, turned a small operation in her garage into an international company selling neutral body posture chairs designed by her father, Dr. Jerome Congleton.

Manager's Checklist

- ☐ Managers need to understand the general environment and the core elements of the task environment and how elements of their environment affect their business.
- ☐ If managers can not only understand their general and task environments but also be able to anticipate changes, they can use their insights for competitive advantage.
- ☐ Managers need to understand the main parts of their organization's internal environment, as well as how it affects the organization's success.
- ☐ Regardless of their level, managers should have a clear knowledge of their organization's governance structure.

2-2 THE ETHICAL AND SOCIAL ENVIRONMENT OF MANAGEMENT

The ethical and social environment has become an especially important area for managers in the last few years. In this section, we first explore the concept of individual ethics and then describe social responsibility.

2-2a Individual Ethics in Organizations

ethics
An individual's personal beliefs about whether a behavior, action, or decision is right or wrong

ethical behavior
Behavior that conforms to generally accepted social norms

unethical behavior
Behavior that does not conform to generally accepted social norms

managerial ethics
Standards of behavior that guide individual managers in their work

We define **ethics** as an individual's personal beliefs about whether a behavior, action, or decision is right or wrong.[9] Note that we define *ethics* in the context of the individual—people have ethics, whereas organizations do not. Likewise, what constitutes ethical behavior varies from one person to another. For example, one person who finds a $20 bill on the floor of an empty room may believe that it is okay to keep it, whereas another may feel compelled to turn it in to the lost-and-found department. Furthermore, although **ethical behavior** is in the eye of the beholder, the term usually refers to behavior that conforms to generally accepted social norms. **Unethical behavior**, then, is behavior that does not conform to generally accepted social norms.

Managerial Ethics **Managerial ethics** consists of the standards of behavior that guide individual managers in their work.[10] One important area of managerial ethics is the treatment of employees by the organization. It includes, for example, hiring and firing, wages and working conditions, and employee privacy and respect. An example of how different managers might approach this area involves minimum wages. While the U.S. government sets a minimum hourly wage, this amount is often not enough to live above the poverty level in high-cost areas such as New York and San Francisco. Some managers might say that paying only the legal minimum is the right business practice, while others might be inclined to pay a wage more attuned to local conditions (sometimes called a *living wage*).

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Corporate expense accounts are sometimes the subject of ethical lapses. For instance, these two colleagues are having lunch together and discussing business. In theory, it may be easy for one of them to "pad" the lunch expense so as to be reimbursed for more money than was actually spent.

Numerous ethical issues stem from how employees treat the organization, especially in regard to conflicts of interest, secrecy and confidentiality, and honesty. A *conflict of interest* occurs when an employee's decision potentially benefits the individual to the possible detriment of the organization. To guard against such practices, most companies have policies that forbid their buyers from accepting gifts from suppliers. Divulging company secrets is also clearly unethical. A few employees who work for businesses in highly competitive industries—electronics, software, and fashion apparel, for example—have been caught selling information about their companies' plans to competitors. Another area of concern is honesty in general. Relatively common problems in this area include activities such as using business assets for personal activities, using social media during work hours, stealing supplies, and padding expense accounts. Although most employees are inherently honest, organizations must nevertheless be vigilant to avoid problems with such behaviors.

"I must stand with anybody that stands right, and stand with him while he is right, and part with him when he is wrong."
—Abraham Lincoln[11]

Managerial ethics also comes into play in the relationship between the firm and its employees with other economic agents. The primary agents of interest include customers, competitors, stockholders, suppliers, dealers, and unions. The behaviors between the organization and these agents that may be subject to ethical ambiguity include advertising and promotions, financial disclosures, ordering and purchasing, shipping and solicitations, bargaining and negotiation, and other business relationships.

James Lauritz/Digital Vision/Getty Images

Unethical behavior refers to behavior that does not conform to generally accepted social norms. Bribery is one form of behavior that is both illegal and unethical. This individual, for example, might be paying off a building inspector to get a favorable inspection or a customer to get a big order.

For example, state pharmacy boards are charged with overseeing prescription drug safety in the United States. All told, almost 300 pharmacists serve on such boards. One study found that 72 of these pharmacists were actually employees of major drugstore chains and supermarket pharmacies. These arrangements, while legal, could create the potential for conflicts of interest because they might give the pharmacist's employers influence over the regulatory system designed to monitor their own business practices.[12]

Another recent area of concern involves financial reporting by various e-commerce firms. Because of the complexities inherent in valuing the assets and revenues of these firms, some of them have been very aggressive in presenting their financial position in a highly positive light. And at least a few firms have substantially overstated their earnings projections to entice more investment. Moreover, some of today's accounting scandals in traditional firms have stemmed from similarly questionable practices. For example, Diamond Foods, a distributor of nuts and popcorn snacks, had to restate its earnings twice because it had improperly accounted for $80 million in payments to almond growers.[13]

Managing Ethical Behavior Spurred partially by increased awareness of ethics scandals in business and partially by a sense of enhanced corporate consciousness about the distinction between ethical and unethical behaviors, many organizations have reemphasized ethical behavior on the part of employees. This emphasis takes many forms, but any effort to enhance ethical behavior must begin with top management. It is top managers, for example, who establish the organization's culture and define what will and what will not be acceptable behavior. Some companies have also started offering employees training in how to cope with ethical dilemmas. At Boeing, for example, line managers lead training sessions for other employees, and the company has an ethics committee that reports directly to the board of directors. The training sessions involve discussions of different ethical dilemmas that employees might face and how managers might handle those dilemmas. Chemical Bank, Halliburton, and Xerox also have ethics training programs for their managers. Still, issues continue to arise. For instance, one recent study found an increase in the number of employees who called in sick when they were not, in fact, ill but just wanted to have a day off.[14]

Organizations are also making greater efforts to formalize their ethical standards. Some, such as General Mills and Johnson & Johnson, have prepared guidelines that detail how employees are to treat suppliers, customers, competitors, and other constituents. Others, such as Whirlpool, Texas Instruments, and HP, have developed a formal **code of ethics**—written statements of the values and ethical standards that guide the firms' actions. Of course, firms must adhere to such codes if they are to be of value. In one now-infamous case, Enron's board of directors voted to set aside the firm's code of ethics to implement a business plan that was in violation of that code.[15]

code of ethics
A formal, written statement of the values and ethical standards that guide a firm's action

Of course, no code, guideline, or training program can truly substitute for the quality of an individual's personal judgment about what is right behavior and what is wrong behavior in a particular situation. Such devices may prescribe what people should do, but they often fail to help people understand and live with the consequences of their choices. Making ethical choices may lead to very unpleasant outcomes—firing, rejection by colleagues, and the forfeiture of monetary gain, to name a few. Thus, managers must be prepared to confront their own conscience and weigh the options available when making difficult ethical decisions.

2-2b Emerging Ethical Issues

Ethical scandals have become almost commonplace in today's world. Ranging from business and sports to politics and the entertainment industry, these scandals have rocked stakeholder confidence and called into question the moral integrity of our society. At the same time, most women and men today conduct themselves and their affairs in accordance with high ethical standards. Hence, as we summarize several emerging ethical issues in organizations, it is important to remember that one cannot judge everyone by the transgressions of a few.

AniphaeS/Getty Images

How businesses interact with the natural environment plays a complex role in social responsibility. This scene alone, for example, shows a wind farm set near an industrial site spewing black smoke into the environment.

Ethical Leadership In recent years, the media have been rife with stories about unscrupulous corporate leaders. For every unethical senior manager, of course, there are many highly ethical ones. But the actions of such high-profile deposed executives as Martin Shkreli (Turing Pharmaceuticals), Carlos Ghosn (Nissan), Roger Ailes (Fox News), and Les Moonves (ViacomCBS) have substantially increased the scrutiny directed at all executives. As a direct result, executives everywhere are expected to exhibit nothing but the strongest ethical conduct. This leadership, in turn, is expected to help set the tone for the rest of the organization and to establish both norms and a culture that reinforce the importance of ethical behavior.

The basic premise behind ethical leadership is that because leaders serve as role models for others, their every action is subject to scrutiny. If a senior executive exercises questionable judgment, this sends a signal to others that such actions are acceptable. This signal may, in turn, be remembered by others when they face similar situations. As a result, CEOs like General Motors' Mary Barra and Costco's W. Craig Jelinek are sometimes held up as the standard against which others should be measured. The basic premise is that CEOs must set their company's moral tone by being honest and straightforward and by taking responsibility for any shortcomings that are identified. To support this view, Congress passed the **Sarbanes–Oxley Act of 2002**, requiring CEOs and CFOs to vouch personally for the truthfulness and fairness of their firms' financial disclosures. The law also imposes tough new measures to deter and punish corporate and accounting fraud and corruption.

Sarbanes–Oxley Act of 2002
A law that requires CEOs and CFOs to vouch personally for the truthfulness and fairness of their firms' financial disclosures and imposes tough new measures to deter and punish corporate and accounting fraud and corruption

Corporate Governance A related area of emerging concern is ethical issues in corporate governance. As discussed earlier in this chapter, the board of directors of a public corporation is expected to ensure that the business is being properly managed and that the decisions made by its senior management are in the best interests of shareholders and other stakeholders. But many of the recent ethical scandals discussed here actually started with a breakdown in the corporate governance structure. For instance, World-Com's board once approved a personal loan to the firm's then-CEO, Bernard Ebbers, for $366 million, even though there was little evidence that he could repay it. And as we noted in our opening case Boeing's board was criticized for its poor oversight during the development of the 737 MAX. Boards of directors are also criticized when they are seen as not being sufficiently independent from senior management.[16] Only three of the 13 directors at McDonald's are also members of the firm's top management team.

Ethics and Information Technology A final set of issues that has emerged in recent times involves information technology. Among the specific focal points in this area are individual rights to privacy and individuals' potential abuse of information technology. Indeed, online privacy has become a hot topic as companies sort out the related ethical and management issues. Both Facebook and Google have come under fire in recent years when it was discovered that these firms were looking into ways to track people's movement as individuals logged into the sites. Regulatory agencies continue to look into how to both protect privacy while also not overly restraining free trade.

One way in which management can address these concerns is to post a privacy policy on the company website. The policy should explain exactly what data the company collects and who gets to see the data. It should also allow people a choice about having their information shared with others and indicate how people can opt out of data collection. Disney, IBM, and other companies support this position by refusing to advertise on websites that have no posted privacy policies.

In addition, companies can offer web surfers the opportunity to review and correct information that has been collected, especially medical and financial data. In the offline world, consumers are legally allowed to inspect their own credit and medical records. In the online world, this kind of access can be costly and cumbersome because data are often spread across several computer systems. Despite the technical difficulties, government agencies are already working on online privacy guidelines, which means that companies will need internal guidelines, training, and leadership to ensure that they are in compliance.

Manager's Checklist

- ☐ When assessing the ethical context of decisions, be sure to consider everyone who might be affected.
- ☐ Remember that while you think you will make ethical decisions, until you face hard choices you may not know for sure.

2-3 SOCIAL RESPONSIBILITY IN ORGANIZATIONS

As we have seen in this chapter, ethics are associated with individuals and their decisions and behaviors. Organizations themselves do not have ethics, but they relate to their environments in ways that often involve ethical dilemmas and decisions. These situations are generally referred to within the context of the organization's **social responsibility**. Specifically, social responsibility is the set of obligations an organization has to protect and enhance the societal context in which it functions. Some of the more salient arguments on both sides of this contemporary debate are summarized in Figure 2.2 and are further explained in the following sections.

social responsibility
The set of obligations that an organization has to protect and enhance the societal context in which it functions

2-3a Arguments for and Against Social Responsibility

People who argue in favor of social responsibility claim that—because organizations create many of the problems that need to be addressed, such as air and water pollution and resource depletion—organizations should play a major role in solving them. They also argue that, because corporations are legally defined entities with most of the same privileges as private

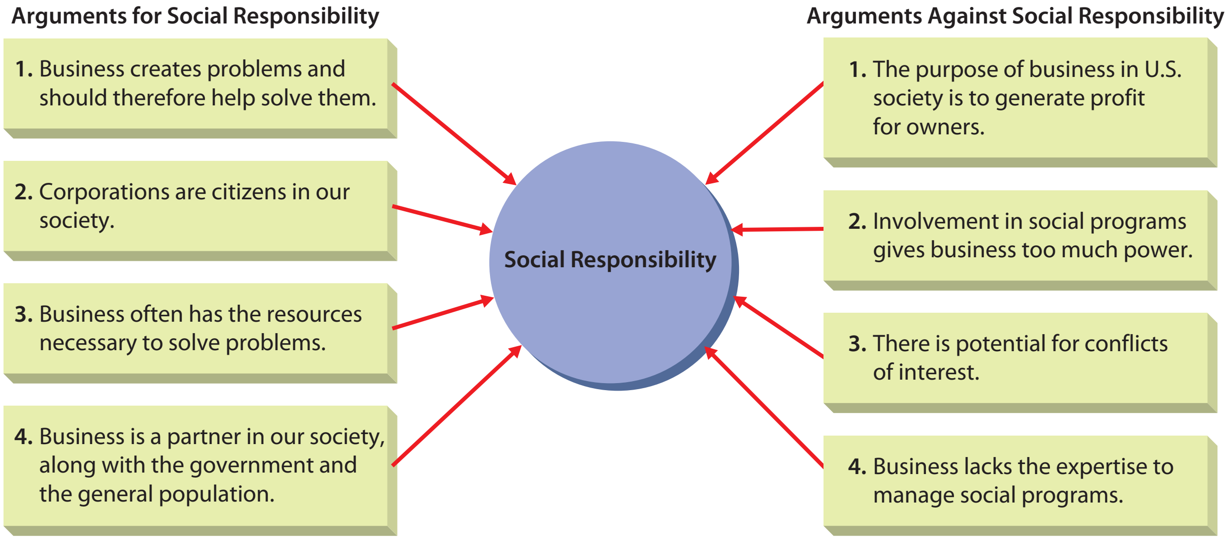

FIGURE 2.2

Arguments for and Against Social Responsibility

Although many people want everyone to see social responsibility as a desirable aim, there are in fact several strong arguments that can be advanced both for and against social responsibility. Hence organizations and their managers should carefully assess their own values, beliefs, and priorities when deciding which stance and approach to take regarding social responsibility.

citizens, businesses should not try to avoid their obligations as citizens. Advocates of social responsibility point out that, whereas governmental organizations have stretched their budgets to the limit, many large businesses often have surplus revenues that could be used to help solve social problems. For example, Dell donates surplus computers to schools, and many restaurants give leftover food to homeless shelters.

Some people, however, including famous economist Milton Friedman, argue that widening the interpretation of social responsibility will undermine the U.S. economy by detracting from the basic mission of business: to earn profits for owners. For example, money that Chevron or General Electric contributes to social causes or charities is money that could otherwise be distributed to owners in the form of dividends. Shareholders of Ben & Jerry's Homemade Holdings once expressed outrage when the firm refused to accept a lucrative exporting deal to Japan simply because the Japanese distributor did not have a strong social agenda.

Another objection to increasing the social responsibility of businesses reflects the position that corporations already wield enormous power and that involvement in social programs gives them even more power. Still another argument against social responsibility focuses on the potential for conflicts of interest. Suppose, for example, that one manager is in charge of deciding which local social program or charity will receive a large grant from her business. The local civic opera company (a not-for-profit organization that relies on contributions for its existence) might offer her front-row tickets for the upcoming season in exchange for her support. If opera is her favorite form of music, she may be tempted to direct the money toward the local company when it might actually be needed more in other areas.

Finally, critics argue that organizations lack the expertise to understand how to assess and make decisions about worthy social programs. How can a company truly know, they ask, which cause or program is most deserving of its support or how money might best be spent?

2-3b Managing Social Responsibility

The demands for social responsibility placed on contemporary organizations by an increasingly sophisticated and educated public are probably stronger than ever. As we have seen, there are pitfalls for managers who fail to adhere to high ethical standards and for companies that try to circumvent their legal obligations. Organizations therefore need to fashion an approach to social responsibility in the same way that they develop any other business strategy. In other words, they should view social responsibility as a major challenge that requires careful planning, decision making, consideration, and evaluation. They may accomplish this through both formal and informal dimensions of managing social responsibility.

Formal Organizational Dimensions Some dimensions of managing social responsibility are formal and planned activities on the part of the organization. The formal organizational dimensions through which businesses can manage social responsibility include legal compliance, ethical compliance, and philanthropic giving.

legal compliance
The extent to which an organization complies with local, state, federal, and international laws

Legal compliance is the extent to which the organization conforms to local, state, federal, and international laws. The task of managing legal compliance is generally assigned to the appropriate functional managers. For example, the organization's top human resource executive is responsible for ensuring compliance with regulations concerning hiring, pay, and workplace safety and health. Likewise, the top finance executive generally oversees compliance with securities and banking regulations. The organization's legal department is likely to contribute to this effort by providing general oversight and answering queries from managers about the appropriate interpretation of laws and regulations. Unfortunately, though, legal compliance may not be enough—in some cases, for instance, perfectly legal accounting practices have still resulted in deception and other problems.

ethical compliance
The extent to which an organization and its members follow basic ethical standards of behavior

Ethical compliance is the extent to which the organization's members follow basic ethical (and legal) standards of behavior. We noted earlier that organizations have increased their efforts in this area—providing training in ethics and developing guidelines and codes of conduct, for example. These activities serve as vehicles for enhancing ethical compliance. Many organizations also establish formal ethics committees, which may be asked to review proposals for new projects, to help evaluate new hiring strategies, or to assess a new environmental protection plan. They might also serve as a peer-review panel to evaluate alleged ethical misconduct by an employee.

philanthropic giving
Awarding funds or gifts to charities or other worthy causes

Finally, **philanthropic giving** is the awarding of funds or gifts to charities or other worthy causes. Target routinely gives a share pretax income to charity and social programs. Omaha Steaks gives more than $100,000 per year to support the arts. Giving across national boundaries is also becoming more common. For example, Alcoa gave $112,000 to a small town in Brazil to build a sewage treatment plant. And Japanese firms such as Sony and Mitsubishi make contributions to many social programs in the United States. Many firms that make contributions are increasingly targeting them to programs or areas where the firm will get something in return. For example, firms today are more likely than they were a few years ago to give money to job-training programs rather than to the arts. The logic is that they get a more direct payoff from the former type of contribution—in this instance, a better-trained workforce from which to hire new employees.[17]

Informal Organizational Dimensions In addition to these formal dimensions of managing social responsibility, there are also informal ones. Leadership, organizational culture, and how the organization responds to whistle-blowers all help shape and define people's perceptions of the organization's stance on social responsibility.

Leadership practices and organizational culture can go a long way toward defining the social responsibility stance an organization and its members will adopt.[18] As described earlier in this chapter, for example, ethical leadership often sets the tone for the entire organization. Our opening case notes how senior managers at Boeing may have contributed to ethical lapses at the firm. From a similar perspective, Walmart was charged with bribing officials in other countries in order to sidestep local regulations and expedite building permits for new stores. Investigators alleged that top managers, including the CEO at the time, knew about these practices but did nothing to stop them.[19]

whistle-blowing
The disclosure, by an employee, of illegal or unethical conduct on the part of others within the organization

Whistle-blowing is an employee's disclosure of illegal or unethical conduct by others within the organization.[20] How an organization responds to this practice often indicates its values as they relate to social responsibility. Whistle-blowers may have to proceed through a number of channels to be heard, and they may even get fired for their efforts. Many organizations, however, welcome their contributions. A person who observes questionable behavior typically first reports the incident to his or her boss. If nothing is done, the whistle-blower may then inform higher-level managers or an ethics committee, if one exists. Eventually, the person may have to go to a regulatory agency or even the media to be heard. Harry Markopolos, a portfolio manager at Rampart Investments, spent nine years trying to convince the SEC that a money management firm run by Bernard Madoff was falsifying the results it was reporting to investors. Only when the U.S. economy went into recession in 2008 did the truth about Madoff come out.[21] In response, the SEC announced plans to overhaul its whistle-blowing system.[22] More recently, Bradley Birkenfeld provided evidence proving that Swiss banking giant UBS was evading corporate taxes. UBS eventually was fined $780 million for its transgressions.[23]

Manager's Checklist

- ☐ Remember that the views of others about social responsibility may not necessarily be the same as your views.
- ☐ Understand how the government affects social responsibility as it relates to an organization and how organizations influence (or try to influence) the government in terms of social responsibility.

2-4 THE INTERNATIONAL ENVIRONMENT OF MANAGEMENT

Another important competitive issue for managers today is the international environment. After describing recent trends in international business, we examine levels of internationalization and the international context of business.

". . . This world is changing enormously. In any position in a company you need to work very hard on learning new skills every day, but you also need to unlearn some of the old skills from the past . . ."

—Alan Jope, CEO of Unilever

2-4a Trends in International Business

The stage for today's international business environment was set at the end of World War II. Businesses in war-torn countries such as Germany and Japan had no choice but to rebuild from scratch. Consequently, they had to rethink every facet of their operations, including technology, production, finance, and marketing. Although these countries took many years to recover, they eventually did so, and their economic systems were subsequently poised for growth. During the same era, many U.S. companies grew somewhat complacent. Their customer base was growing rapidly. Increased population, spurred by the baby boom, and increased affluence resulting from the postwar economic boom greatly raised the average person's standard of living and expectations. The U.S. public continually wanted newer and better products and services. Many U.S. companies profited greatly from this pattern, but most were also guilty of taking it for granted.

U.S. firms are no longer isolated from global competition or the global market. A few simple numbers help tell the full story of international trade and industry. First of all, the volume of international trade increased more than 3,000 percent between 1960 and 2015. Furthermore, although 121 of the world's largest corporations are headquartered in the United States, there are also 119 in China, 52 in Japan, 31 in France, 29 in Germany, and 18 in Britain.[24] Within certain industries, the preeminence of non-U.S. firms is even more striking. For example, only one of the world's 10 largest banks and none of the largest electronics companies are based in the United States. Only three of the 10 largest chemical companies are U.S. firms. On the other hand, U.S. firms comprise seven of the 10 largest aerospace companies, three of the six largest airlines, and three of the nine largest computer companies.[25]

U.S. firms are also finding that international operations are an increasingly important element of their sales and profits. For example, in 2019 ExxonMobil realized 64 percent of its revenues and 55 percent of its profits abroad.[26] Hollywood is also getting in on the act. The highest


Cristina Negoita/Shutterstock.com

Importing and exporting are common forms of international business. Exporters load their products into cargo containers such as these. The containers are shipped to foreign markets and unloaded for distribution and sale there.

grossing movie of all time, 2019's *Avengers: Endgame*, earned $2.79 billion in revenues, with around 65 percent of that total coming from foreign markets. From any perspective, then, it is clear that we live in a truly global economy. Virtually all businesses today must be concerned with the competitive situations they face in lands far from home and with how companies from distant lands are competing in their homelands.

2-4b Levels of International Business Activity

Firms can choose various levels of international business activity as they seek to gain a competitive advantage in other countries. The general levels are exporting and importing, licensing, strategic alliances, and direct investment. Table 2.1 summarizes the advantages and disadvantages of each approach.

exporting
Making a product in the firm's domestic marketplace and selling it in another country

importing
Bringing a good, service, or capital into the home country from abroad

Exporting and Importing Importing or exporting (or both) is usually the first type of international business in which a firm gets involved. **Exporting**, or making a product in the firm's domestic marketplace and selling it in another country, can involve both merchandise and services. **Importing** is bringing a good, service, or capital into the home country from abroad. For example, automobiles (Mazda, Ford, Volkswagen, Mercedes-Benz, and Ferrari) and stereo equipment (Sony, Bang & Olufsen, and Sanyo) are routinely exported by their manufacturers to other countries. Likewise, many wine distributors buy products from vineyards in France, Italy, or the United States and import them into their own country for resale. U.S. sports brands, such as team jerseys and logo caps, have become one of the latest hot exports.

When organizations decide to increase their level of internationalization, they can adopt several strategies. Each strategy is a matter of degree, as opposed to being a discrete and mutually exclusive category. And each has unique advantages that must be considered.

Table 2.1 Advantages and Disadvantages of Different Approaches to Internationalization

Approach to Internationalization	Advantages	Disadvantages
Importing or exporting	1. Small cash outlay 2. Little risk 3. No adaptation necessary	1. Tariffs and taxes 2. High transportation costs 3. Government restrictions
Licensing	1. Increased profitability 2. Extended profitability	1. Inflexibility 2. Competition
Strategic alliances or joint ventures	1. Quick market entry 2. Access to materials and technology	1. Shared ownership (limits control and profits)
Direct investment	1. Enhanced control 2. Existing infrastructure	1. Complexity 2. Greater economic and political risk 3. Greater uncertainty

licensing
An arrangement whereby one company allows another company to use its brand name, trademark, technology, patent, copyright, or other assets in exchange for a royalty based on sales

strategic alliance
A cooperative arrangement between two or more firms for mutual gain

joint venture
A special type of strategic alliance in which the partners share in the ownership of an operation on an equity basis

direct investment
When a firm builds or purchases operating facilities or subsidiaries in a different country from the one where it has its headquarters

maquiladoras
Light assembly plants that are built in northern Mexico close to the U.S. border and are given special tax breaks by the Mexican government

Licensing A company may prefer to arrange for a foreign company to manufacture or market its products under a licensing agreement. Factors leading to this decision may include excessive transportation costs, government regulations, and home production costs. **Licensing** is an arrangement whereby a firm allows another company to use its brand name, trademark, technology, patent, copyright, or other assets. In return, the licensee pays a royalty, usually based on sales. Franchising, a special form of licensing, is also widely used in international business. Kirin Brewery, Japan's largest producer of beer, wanted to expand its international operations but feared that the time involved in shipping it from Japan would cause the beer to lose its freshness. Thus, it has entered into a number of licensing arrangements with breweries in other markets. These brewers make beer according to strict guidelines provided by the Japanese firm and then package and market it as Kirin beer. They pay a royalty to Kirin for each case sold. Molson produces Kirin in Canada under such an agreement, and the Charles Wells Brewery does the same in England.[27]

Strategic Alliances In a **strategic alliance**, two or more firms jointly cooperate for mutual gain.[28] For example, Unisys and Oracle have a strategic alliance that provides customers with the service and technology of Unisys and the enterprise software of Oracle. A **joint venture** is special type of strategic alliance in which the partners actually share ownership of a new enterprise. Strategic alliances have enjoyed a tremendous upsurge in the past few years.

Direct Investment Another level of commitment to internationalization is direct investment. **Direct investment** occurs when a firm headquartered in one country builds or purchases operating facilities or subsidiaries in a foreign country. The foreign operations then become wholly owned subsidiaries of the firm. Examples are BP's acquisition of Amoco, Dell Computer's massive factory in China, and the newest Disney theme park in Shanghai. Coca-Cola invested $150 million to build a new bottling and distribution network in India. Similarly, PepsiCo paid $4.2 billion for a Russian yogurt company. Many U.S. firms use *maquiladoras* for the same purpose. **Maquiladoras** are light assembly plants built in northern Mexico close to the U.S. border. The plants are given special tax breaks by the Mexican government, and the area is populated with workers willing to work for low wages.

travelpixs/Alamy Stock Photo

Licensing can allow a company to extend the life of its technology. For instance, older versions of computer hardware and software that have limited markets in industrialized countries may still be widely used in less-developed parts of the world. This Egyptian library, for example, uses computers that have little market value in the United States.

2-4c The Context of International Business

Managers involved in international business should also be aware of the cultural environment, controls on international trade, the importance of economic communities, and the role of the GATT and WTO.

The Cultural Environment One significant contextual challenge for the international manager is the cultural environment and how it affects business. A country's culture includes all the values, symbols, beliefs, and language that guide behavior. Cultural values and beliefs are often unspoken; they may even be taken for granted by those who live in a particular country. Cultural factors do not necessarily cause problems for managers when the cultures of two countries are similar. Difficulties can arise, however, when there is little overlap between a manager's home culture and the culture of the country in which business is to be conducted. For example, most U.S. managers find the culture and traditions of England relatively familiar. The people of both countries speak the same language and share strong historical roots, and there is a history of strong commerce between the two countries. When U.S. managers begin operations in Vietnam, the People's Republic of China, or the Middle East, however, many of those commonalities disappear.

Cultural differences between countries can have a direct impact on business practice. For example, the religion of Islam teaches that people should not make a living by exploiting the misfortune of others; as a result, charging interest is seen as immoral. This means that in Saudi Arabia, few businesses provide towing services to transport stalled cars to a repair shop (because doing so would be capitalizing on misfortune), and in the Sudan, banks cannot pay or charge interest. Given these cultural and religious constraints, those two businesses—automobile towing and banking—seem to hold little promise for international managers in those particular countries!

Some cultural differences between countries can be even more subtle and yet have a major impact on business activities. For example, in the United States most managers clearly agree about the value of time. Most U.S. managers schedule their activities very tightly and then try hard to adhere to their schedules. Other cultures do not put such a premium on time. In the Middle East, managers do not like to set appointments, and they rarely keep appointments set too far into the future. U.S. managers interacting with managers from the Middle East might misinterpret the late arrival of a potential business partner as a negotiation ploy or an insult, when it is merely a simple reflection of different views of time and its value.[29]

Language itself can be an important factor. Beyond the obvious and clear barriers posed when people speak different languages, subtle differences in meaning can also play a major role. For example, Imperial Oil of Canada markets gasoline under the brand name Esso. When the firm tried to sell its gasoline in Japan, it learned that *esso* means "stalled car" in Japanese. Likewise, when Chevrolet first introduced a U.S. model called the Nova in Latin America, General Motors executives could not understand why the car sold poorly. They eventually learned, though, that, in Spanish, *no va* means "it doesn't go." The color green is used extensively in Muslim countries, but it signifies death in some other lands. The color associated with femininity in the United States is pink, but in many other countries yellow is the most feminine color. And when Disney was initially promoting one of its theme parks in Hong Kong, its print ads featured a family consisting of two parents and two children, failing to consider that the Chinese government limits most families to a single child. As a result, people who saw the ad were confused until Disney relaunched the campaign to show parents and a single child visiting the park.[30]

Controls on International Trade Another element of the international context that managers need to consider is the extent to which there are controls on international trade. These controls include tariffs, quotas, export restraint agreements, and "buy national" laws. A **tariff** is a tax collected on goods shipped across national boundaries. Tariffs can be collected by the exporting country, by countries through which goods pass, or by the importing country. Import tariffs, which are the most common, can be levied to protect domestic companies by increasing the cost of foreign goods. Japan charges U.S. tobacco producers a tariff on cigarettes imported into Japan as a way to keep their prices higher than the prices charged by domestic firms. Tariffs can also be levied, usually by less-developed countries, to raise money for the government.

tariff
A tax collected on goods shipped across national boundaries

Quotas are the most common form of trade restriction. A **quota** is a limit on the number or value of goods that can be traded. The quota amount is typically designed to ensure that domestic competitors will be able to maintain a certain market share. Honda is allowed to import 425,000 autos each year into the United States. This quota is one reason why Honda opened manufacturing facilities here. The quota applies to cars imported into the United States, but the company can produce as many other cars within U.S. borders as it wants; such cars are not considered imports. **Export restraint agreements** are designed to convince other governments to limit voluntarily the volume or value of goods exported to or imported from a particular country. They are, in effect, export quotas. Japanese steel producers voluntarily limit the amount of steel they send to the United States each year.

quota
A limit on the number or value of goods that can be traded

export restraint agreements
Accords reached by governments in which countries voluntarily limit the volume or value of goods they export to or import from one another

Free Wind 2014/Shutterstock.com

Most countries impose controls on international trade. This Russian Customs Inspector in Moscow is inspecting a shipment from Japan to make sure that proper tariffs have been paid.

"Buy national" legislation gives preference to domestic producers through content or price restrictions. Several countries have this type of legislation. Brazil requires that Brazilian companies purchase only Brazilian-made computers. The United States requires that the Department of Defense purchase military uniforms manufactured only in the United States, even though the price of foreign uniforms would be only half as much. Mexico requires that 50 percent of the parts of cars sold in Mexico be manufactured inside its own borders.

Economic Communities Just as government policies can either increase or decrease the political risk that international managers face, trade relations between countries can either help or hinder international business. Relations dictated by quotas, tariffs, and so forth can hurt international trade. There is currently a strong movement around the world to reduce many of these barriers. This movement takes its most obvious form in international economic communities.

economic community
A set of countries that agrees to markedly reduce or eliminate trade barriers among member nations (a formalized market system)

European Union (EU)
The first and most important international market system

An international **economic community** is a set of countries that agrees to markedly reduce or eliminate trade barriers among member nations. The first (and in many ways still the most important) of these economic communities is the European Union. The **European Union** (or **EU**, as it is often called) can be traced to 1957 when Belgium, France, Luxembourg, Germany, Italy, and the Netherlands signed the Treaty of Rome to promote economic integration. Between 1973 and 1986 these countries were joined by Denmark, Ireland, the United Kingdom, Greece, Spain, and Portugal, and the group became known first as the European Committee and then as the European Union. Austria, Finland, and Sweden joined the EU in 1995; 12 additional countries (mostly from the formerly communist-controlled eastern European region) joined between 2004 and 2007, bringing the EU's membership to 27 countries. For years these countries have followed a basic plan that led to the systematic elimination of most trade barriers. The new market system achieved significantly more potential when most of the EU members eliminated their home currencies (such as French francs and Italian lira) beginning on January 1, 2002, and adopted a new common currency called the *euro*. The EU was dealt a setback in 2016, however, when the citizens of Great Britain voted to withdraw from the EU. This withdrawal was finalized in 2019 but it will take some time to fully implement, however, and its effects will be complex and potentially far reaching.

"In China today, Bill Gates is Britney Spears. In America today, Britney Spears is Britney Spears—and that is our problem."

—Thomas L. Friedman, *New York Times* Journalist and Three-Time Pulitzer Prize Winner[31]

North American Free Trade Agreement (NAFTA)
An agreement between the United States, Canada, and Mexico to promote trade with one another

Another important economic community encompasses the United States, Canada, and Mexico. These countries have long been major trading partners with one another; more than 80 percent of Mexico's exports go to the United States, and more than 50 percent of Mexico's imports come from the United States. During the last several years, these countries have negotiated a variety of agreements to make trade even easier. The **North American Free Trade Agreement (NAFTA)** eliminated many of the trade barriers—such as quotas and tariffs—that

United States–Mexico–Canada Agreement (USMCA)
Revised and amended NAFTA to provide greater incentives for Mexico to increase its imports from the United States

existed previously.[32] President Trump, however, felt that NAFTA did not do enough to help the United States. As a result, he pushed for a revised agreement called the **United States–Mexico–Canada Agreement (USMCA)**, which was signed by the three partner countries in 2018. From the standpoint of the United States, a primary goal of the renegotiated treaty is to increase exports from the United States to Mexico (primarily) and Canada. The USMCA will eventually replace NAFTA but this process will take at least a few years to fully complete.

General Agreement on Tariffs and Trade (GATT)
A trade agreement intended to promote international trade by reducing trade barriers and making it easier for all nations to compete in international markets

The Role of the GATT and WTO The context of international business is also increasingly being influenced by the **General Agreement on Tariffs and Trade (GATT)** and the World Trade Organization (WTO). The GATT was first negotiated following World War II in an effort to avoid trade wars that would benefit rich nations and harm poorer ones. Essentially, the GATT is a trade agreement intended to promote international trade by reducing trade barriers and making it easier for all nations to compete in international markets. The GATT was a major stimulus to international trade after it was first ratified in 1948 by 23 countries; by 1994, a total of 117 countries had signed the agreement.

One key component of the GATT was the identification of the so-called *most favored national* (MFN) principle. This provision stipulates that if a country extends preferential treatment to any other nation that has signed the agreement, then that preferential treatment must be extended to all signatories to the agreement. Members can extend such treatment to nonsignatories as well, but they are not required to do so.

World Trade Organization (WTO)
An organization, which currently includes 164 member nations and 23 observer countries, that requires members to open their markets to international trade and to follow WTO rules

The **World Trade Organization (WTO)** came into existence on January 1, 1995. The WTO replaced the GATT and absorbed its mission. The WTO is headquartered in Geneva, Switzerland, and currently includes 164 member nations and 23 observer countries. Members are required to open their markets to international trade and to follow WTO rules. The WTO has three basic goals:

1. To promote trade flows by encouraging nations to adopt nondiscriminatory and predictable trade policies
2. To reduce remaining trade barriers through multilateral negotiations
3. To establish impartial procedures for resolving trade disputes among its members

The WTO is certain to continue to play a major role in the evolution of the global economy. At the same time, it has also become a lightning rod for protesters and other activists, who argue that the WTO focuses too narrowly on globalization issues to the detriment of human rights and the environment.

Manager's Checklist

- ☐ Managers should know the current and forecasted economic conditions in all relevant marketplaces.
- ☐ You should have a clear understanding of possible international assignments your firm may have in mind for you and the role of those assignments in your career progression.
- ☐ Managers need to know how the four elements of the political–legal environment affect their organization and their own jobs.
- ☐ You should also develop an appreciation for cultural differences and how those differences affect you, your colleagues and employees, and your business.

organizational culture
The set of values, beliefs, behaviors, customs, and attitudes that helps the organization's members understand what it stands for, how it does things, and what it considers important

2-5 THE ORGANIZATION'S CULTURE

As we noted earlier in this chapter, an especially important part of an organization's internal environment is its culture. **Organizational culture** is the set of values, beliefs, behaviors, customs, and attitudes that helps the organization's members understand what it stands for, how it does things, and what it considers important.[33] The importance of organizational culture is introduced in our *Leading the Way* feature.

2-5a The Importance of Organizational Culture

Culture determines the organization's "feel." A strong and clear culture can play an important role in the competitiveness of a business. At the same time, though, there is no universal culture that will help all organizations. The stereotypic image of Microsoft, for example, is that of a workplace where people dress very casually and work very long hours. In contrast, the image of Bank of America for some observers is that of a formal setting with rigid work rules and people dressed in conservative business attire. And Texas Instruments likes to talk about its "shirtsleeve" culture, in which ties are avoided and few managers even wear jackets. Southwest Airlines maintains a culture that stresses fun and excitement.

Of course, the same culture is not necessarily found throughout an entire organization. For example, the sales and marketing department may have a culture quite different from that of the operations and manufacturing department. Regardless of its nature, however, culture is a powerful force in organizations, one that can shape the firm's overall effectiveness and long-term success. Companies that can develop and maintain a strong culture, such as Starbucks and Procter & Gamble, tend to be more effective than companies that have trouble developing and maintaining a strong culture, such as Kmart.[34]

"It's creating a sense [in your employees] that 'If I want to make a difference, I can make a difference.' Freedom is only one part of the Netflix culture; the other is responsibility. [Netflix] has created a culture of high performance. 'Adequate performance gets a generous severance package.'"

—Reed Hastings, Co-Founder, Chairman, and CEO of Netflix[35]

2-5b Determinants of Organizational Culture

Where does an organization's culture come from? Typically, it develops and blossoms over a long period of time. Its starting point is often the organization's founder. For example, James Cash Penney believed in treating employees and customers with respect and dignity. Employees at JC Penney are still called *associates* rather than *employees* (to reflect partnership), and customer satisfaction is of paramount importance. The impact of Sam Walton, Ross Perot, and Walt Disney is still felt in the organizations they founded.[36] As an organization grows, its culture is modified, shaped, and refined by symbols, stories, heroes, slogans, and ceremonies. And many decisions at Walt Disney Company today are still framed by asking, "What would Walt have done?"

Corporate success and shared experiences also shape culture. For example, Hallmark Cards has a strong culture derived from its years of success in the greeting card industry. Employees speak of "the Hallmark family" and care deeply about the company; many have worked there for years. At Kmart, in contrast, the culture has been quite weak, the management team has changed rapidly, and few people sense any direction or purpose in the company. Indeed, some observers predict that Kmart will not survive much longer. The differences in culture at Hallmark and Kmart are in part attributable to past successes and shared experiences.

2-5c Managing Organizational Culture

How can managers deal with culture, given its clear importance but intangible nature? Essentially, the manager must understand the current culture and then decide whether it should be maintained or changed. By understanding the organization's current culture, managers can take appropriate actions. Culture can also be maintained by rewarding and promoting people whose behaviors are consistent with the existing culture and by articulating the culture through slogans, ceremonies, and so forth.

But managers must walk a fine line between maintaining a culture that still works effectively and changing a culture that has become dysfunctional. For example, many of the firms already noted, as well as numerous others, take pride in perpetuating their culture. Shell

LEADING THE WAY

Happy Fit

Tony Hsieh (pronounced "Shay"), the son of Taiwanese immigrants, started his first company in 1996, just after he graduated from Harvard. LinkExchange was an ingenious Internet advertising network that permitted members to exchange ad space on their own sites for space on other members' sites. Two-and-a-half years later, Hsieh and his partner sold their company to Microsoft for $265 million. It wasn't the money, says Hsieh; LinkExchange just wasn't a fun place to work at anymore.

"It worked great," he recalls, "until we got to about 15 or 20 people, and then we ran out of friends to hire. So then we started hiring people who had all the right skill sets but weren't necessarily great for the company culture. By the time we got to 100 people, I myself dreaded getting out of bed in the morning." He knew it was time to move on, recalls Hsieh, when "the culture just went completely downhill."

What does Hsieh want in a company culture? "For me," he says, "the initial motivation was what would make me happy. . . . If I was going to go to an office, I wanted it to be with people I would choose to be around even if we didn't have to work together." Fortunately, Hsieh had a choice of the office he worked in and the people he worked with. He originally joined an online shoe retailer as an investor and advisor but soon became co-CEO, and the company, now known as Zappos, reached two of his chief goals by 2008: It topped $1 billion in sales (two years early) and made *Fortune* magazine's list (at #23) of the "Top 100 Companies to Work For."

In November 2009, Hsieh and his partners sold Zappos to Amazon for $1.2 billion. Amazon agreed to let its new acquisition operate independently, and Hsieh agreed to stay on as CEO—for a salary of only $36,000. "That's my way of making sure that I'm actually there for my own happiness," explains Hsieh, "not for the money." This time, he was determined to foster the kind of company culture that he deemed optimum for both personal satisfaction and business success: "I didn't want to repeat the same mistake I'd made at [LinkExchange, where]," he admits, "[we hadn't] paid any attention to company culture [because] we just didn't know any better."

As far as Hsieh is concerned, "Company culture is all about making employees happy," and Zappos is certainly an employee-friendly workplace: Cafeteria food is free, for instance, and the company covers all medical benefits. In 2014, Hsieh unveiled plans to take his concept of "company culture" a giant step further by announcing Zappos would move toward becoming a full-fledged *holacracy*. It's one of the latest concepts in radical management, and, basically, it calls for two things that should make employees happy: (1) bosses quit being bosses and (2) all employees are authorized to do whatever they want (especially to experiment with innovative ideas) until they screw up entirely. The CEO gives up his centralized authority, and the whole company is reorganized into decentralized teams, usually called "circles," that choose their own goals and assign their own roles in order to perform whatever organizational task needs to be done.

According to Hsieh, holacracy holds out the possibility of turning the bureaucratic model of organization into one that reflects the model of a city. He points out that when cities double in size, innovation and productivity per citizen go up by 15 percent, whereas corporations that double in size typically decline on both measures. Why? "In a city," says Hsieh, "people are self-organizing." He wants Zappos to "function more like a city and less like an organization" because self-organized employees "actually increase the innovation and productivity of an organization." In theory, everyone should be happier. And so far, the grand experiment at Zappos seems to be working well.

References: Rob Wallace and Marc Dorian, "More Than Money: Surprising Stories of the Superrich and How They Gave Back," ABC News, October 28, 2011, http://abcnews.go.com on January 15, 2020; Peter Hopkins, "*Big Think* Interview with Tony Hsieh," http://bigthink.com on July 22, 2014; Gregory Ferenstein, "Zappos Just Abolished Bosses: Inside Tech's Latest Management Craze," *Vox*, July 11, 2014, www.vox.com on January 15, 2020; Nicole Leinbach-Reyhle, "Shedding Hierarchy: Could Zappos Be Setting an Innovative Trend?" *Forbes*, July 15, 2014, forbes.com on January 15, 2020; Cameron Albert Deitch, "Zappos Tony Hsieh's Biggest Management Experiment Is Evolving Again (in a Very Intriguing Way)," *Inc.*, January 30, 2020, www.inc.com on March 16, 2020.

Oil, for example, has an elaborate display in the lobby of its Houston headquarters that tells the story of the firm's past. But other companies may face situations in which their culture is no longer a strength. For example, some critics feel that Ford's culture places too much emphasis on product development and internal competition among divisions and not enough on marketing and competition with other firms.

Culture problems sometimes arise from mergers or the growth of rival factions within an organization. For example, Delta merged with Northwest Airlines. Combining the two companies led to numerous cases of conflict and operational difficulties because the cultures of the two firms were so different.[37] To change culture, managers must have a clear idea of what they want to create. When United and Continental Airlines merged, top managers stressed that they wanted the new firm to personify Continental's employee-friendly culture and avoid the old United culture that was fraught with hostility and mistrust between management and labor.[38] However, things did not go well because managers underestimated how long it would take to blend two disparate cultures.

Manager's Checklist

- ☐ All members of an organization should understand its culture.
- ☐ Managers need to help create, communicate, and sustain a strong organization culture.

SUMMARY OF LEARNING OUTCOMES AND KEY POINTS

2-1. Discuss the nature of an organization's environments and the components of its general, task, and internal environments.

- Managers need to have a thorough understanding of the environment in which they operate and compete. The general environment consists of the economy, technology, and the political–legal climate. The task environment consists of competitors, customers, suppliers, strategic partners, and regulators.
- The internal environment consists of the organization's owners, board of directors, employees, physical environment, and culture. Owners are those who have claims on the property rights of the organization. The board of directors, elected by stockholders, is responsible for overseeing a firm's top managers. Individual employees are other important parts of the internal environment. The physical environment, yet another part of the internal environment, varies greatly across organizations.

2-2. Describe managerial ethics and the ethical environment of management.

- The ethical and social environment of management is also quite important. Understanding the differences between ethical and unethical behavior, as well as appreciating the special nature of managerial ethics, can help guide effective decision making.

2-3. Discuss the concept of social responsibility.

- Understanding the meaning of and arguments for and against social responsibility can help a manager effectively address both the formal and informal dimensions of social responsibility.

2-4. Discuss the international environment of management.

- The international environment of management can be a crucial one. Current trends have resulted in the increasing globalization of markets, industries, and businesses. Organizations seeking to become more international can rely on importing, exporting, licensing (including franchising), strategic alliances, and direct investment to do so. National culture, controls on international trade, economic communities, and the WTO combine to determine the context of international business.

2-5. Describe the importance and determinants of an organization's culture.

- Organizational culture is the set of values, beliefs, behaviors, customs, and attitudes that helps the organization's members understand what it stands for, how it does things, and what it considers important. Organizational culture is an important environmental concern for managers. Managers must understand that culture is a key determinant of how well their organization will perform. Culture can be assessed and managed in a number of different ways.

DISCUSSION QUESTIONS

Questions for Review

1. Identify and discuss each major dimension of the general environment and the task environment.
2. What are the arguments for and against social responsibility on the part of businesses? In your opinion, which set of arguments is more compelling?
3. Describe the basic levels of international business involvement. Why might a firm use more than one level at the same time?
4. Describe various barriers to international trade. Why do such barriers exist?

Questions for Analysis

1. Can you think of dimensions of the task environment that are not discussed in this chapter? Indicate their linkages to those that are discussed.
2. What is the relationship between the law and ethical behavior? Can a behavior be ethical but illegal at the same time?
3. What is the culture of your college, university, or place of employment? How clear is it? What are its most positive and most negative characteristics?

Questions for Application

1. Identify a situation where a firm competes with another firm but the two firms also have a strategic alliance or joint venture. Explain why situations such as this exist.
2. Use online resources to find Codes of Ethics for three different businesses. Assess each one in terms of its strengths and weaknesses.
3. What industries do you think will feel the greatest impact of international business in the future? Will some industries remain relatively unaffected by globalization? If so, which ones? If not, explain why not.

BUILDING EFFECTIVE CONCEPTUAL SKILLS

Assessing Organizational Culture

Purpose: While organizational culture is intangible, it is not difficult to observe. This activity will help you improve your conceptual skills by observing and interpreting organizational culture, which can help to make you a more effective participant and leader in organizations.

Introduction: Clues to organizational culture may be found by observing details that relate to member behavior, traditions or customs, stories, attitudes, values, communication patterns, organizational structure, employee dress and appearance, and even office space arrangements. Do members address each other by first names? Are office doors left open or closed? What do members wear? How are achievements recognized? Does the workplace feel energized or laid-back? Do members smile and laugh often? Does seniority or expertise earn more respect?

Instructions: First, observe clues to organizational behavior at your school, college, or university. To the extent possible, observe a diversity of members including students, teaching faculty, and nonteaching staff. Write down specific examples. For example, students typically wear blue jeans while instructors may dress more "formally." In the cafeteria, freshmen sit mainly with other freshmen. A professor may be referred to as "Doctor" by staff, while he or she may refer to staff by their first name.

Second, interpret the facts. Use your observations to describe the organization's core values. What does it value most? How did you come to that conclusion?

Third, with the class or in small groups, discuss your facts and interpretations. Focus especially on areas of disagreement. Where individuals disagree about the culture, try to understand why the disagreement occurs. If the facts differ, perhaps the individuals observed two different groups. For example, students majoring in business may be different from students in engineering or education. Or perhaps the organizational culture tolerates or encourages lots of differences. If there is agreement on facts but interpretations differ, then perhaps the individuals making the interpretations can explore their differing perceptions.

BUILDING EFFECTIVE COMMUNICATION SKILLS

Exercise Overview

Communication skills consist of a manager's ability to effectively receive information and ideas from others and to effectively convey information and ideas to others. This exercise will help you develop your communication skills while also helping you understand the importance of knowing the customer segments in an organization's task environment.

Exercise Background

Assume that you are a newly hired middle manager in the marketing department of a large food manufacturer. You have just completed your formal study of management and are excited about the opportunity to apply some of those theories to the real-life problems of your firm. One problem in particular intrigues you. Your boss, the marketing VP, recently developed a consumer survey to solicit feedback about products from customers. The feedback the firm has received varies considerably, ranging from 2 to 5 on a scale from 1 to 5, which gives your firm no helpful data. In addition, sales of your company's products have been slowly but steadily declining over time, and the marketing department is under some pressure from upper management to determine why. You have an idea that the survey is not an accurate reflection of consumer preferences, so you make a suggestion to your boss: "Why don't we gather some information about our customers, in order to understand their needs better? For example, our products are purchased by individual consumers, schools, restaurants, and other organizations. Maybe each type of consumer wants something different from our product." Your boss's response is to stare at you, perplexed, and say, "No. We're not changing anything about the survey." When you ask, "Why?" the boss responds that the product has been a best-seller for years, that "good quality is good quality," and thus that all customers must want the same thing. He then says, "I'll spare you the embarrassment of failure by refusing your request."

Exercise Task

1. With this background in mind, compose a written proposal for your boss, outlining your position. Be sure to emphasize your fundamental concern—that the marketing department must understand the needs of each customer segment better in order to provide products that meet those needs. Consider ways to persuade your boss to change his mind. (*Hint*: Telling him bluntly that he is wrong is unlikely to be effective.)
2. On the basis of what you wrote in response to Exercise Task 1, do you think your boss will change his mind? If yes, exactly what will persuade him to change his mind? If no, what other actions could you take in a further effort to have your ideas adopted by the firm?

SKILL-BUILDING PERSONAL ASSESSMENT

Refining Your Sense of Culture

This exercise is designed to help you assess what you now know about organization culture. The ten statements in the following table reflect certain opinions about the nature of work performed in the context of organization culture. Indicate the extent to which you agree or disagree with each opinion by circling the number in the appropriate column.

Statement of Opinion	Strongly Agree				Strongly Disagree
1. If a person can do well in one organization, he or she can do well in any organization.	1	2	3	4	5
2. Skills and experience are all that really matter; how a job candidate will "fit in" is not an important factor in hiring.	1	2	3	4	5
3. Members of an organization explicitly tell people how to adhere to its culture.	1	2	3	4	5

Statement of Opinion	Strongly Agree				Strongly Disagree
4. After appropriate study, astute managers can fairly quickly change a corporate culture.	1	2	3	4	5
5. A common culture is important for unifying employees but does not necessarily affect the firm's financial health.	1	2	3	4	5
6. Conscientious workers are not really influenced by an organization's culture.	1	2	3	4	5
7. Strong organization cultures are not necessarily associated with high organization performance.	1	2	3	4	5
8. Members of a subculture share the common values of the subculture but not those of the dominant organization culture.	1	2	3	4	5
9. Job candidates seeking to understand a prospective employer's culture can do so by just asking the people who interview them.	1	2	3	4	5
10. Culture can be assessed by observing the behaviors of people in an organization.	1	2	3	4	5

How to Score: To get your total score, add up the values of the numbers that you have circled. You can then interpret your score as follows:

40–50	You have excellent instincts about organization cultures and how people respond to them.
30–39	You show average or above-average awareness of the principles of organization culture.
20–29	You have some sense of how cultures affect workers, but you need to improve your knowledge.
10–19	You definitely need to bolster your knowledge before thinking further about assessing or modifying an organization culture.

Source: Hunsaker, P. L. (2005). Management: A skills approach. Upper Saddle River, NJ: Prentice Hall.

MANAGEMENT AT WORK

Is Doing Good Always What It Seems to Be?

"Often fair trade is sold at a premium, but the entire premium goes to the middlemen."

—Researcher Lawrence Solomon

More than 70 percent of the world's supply of cacao beans comes from small family farms scattered throughout several small West African nations, including Ivory Coast and Ghana. These farmers, their families, and hired hands toil long hours to produce the magical beans that are used to produce cocoa. In the past two decades, however, advocacy groups and consumers have become increasingly aware of a particularly disturbing business practice prevalent on some of these farms—the use of child slave labor.

In countries such as Ivory Coast, one-half of the country's exports are cocoa. Cocoa farmers often earn less than the poverty level, even with the use of child and slave labor.

Cocoa is an extremely unstable commodity—global prices fluctuate significantly. Along with price instability, profitability depends on factors over which farmers have no control, such as drought and crop disease. To improve their chances of making a profit, cocoa farmers look for ways to cut costs, and the use of slave and child labor is one of the most effective money-saving measures.

This is where the idea of "fair trade" comes in. *Fair trade* refers to programs designed to ensure that export-dependent farmers in developing countries receive fair prices for their crops. Organizations such as TransFair USA monitor and certify that farmers supplying cocoa products are paid fair prices, while paying their employees reasonable wages and providing a safe and environmentally friendly workplace. While many fair-trade products are also organic this is not a requirement for certification by Transfair USA. However, the organization does ban the use of genetically modified organisms (GMOs) and encourages farmers to limit their use of pesticides and fertilizers.

A 3.5-ounce candy bar labeled *fair trade* may sell for $3.49, compared to about $1.84 for one that's not. Why so much? Because the fair-trade candy bar, says TransFair USA spokesperson Nicole Chettero, occupies a niche market. She predicts, however, that, "as the demand and volume of Fair Trade–certified products increase, the market will work itself out. . .. [R]etailers will naturally start to drop prices to remain competitive." Ultimately, she concludes, "there is no reason why fair-trade [products] should cost astronomically more than traditional products."

Some critics of fair-trade practices and prices agree in principle but contend that consumers don't need to pay such excessive prices, even under *current* market conditions. They point out that, according to TransFair's own data, cocoa farmers get only 3 cents of the $3.49 that a socially conscious consumer pays for a Fair Trade–certified candy bar. "Farmers often receive very little," reports consumer researcher Lawrence Solomon. "Often fair trade is sold at a premium," he charges, "but the entire premium goes to the middlemen."

Critics like Solomon suggest that sellers of fair-trade products are taking advantage of consumers who are socially but not particularly price conscious. They point out that if sellers priced that $3.49 candy bar at $2.49, farmers would still be entitled to 3 cents. The price, they contend, is inflated to $3.49 simply because there's a small segment of the market willing to pay it. Fair-trade programs, advises English economist Tim Harford, "make a promise that the producers will get a good deal. They do not promise that the consumer will get a good deal. That's up to you as a savvy shopper."

Divine Chocolate is a company that is taking fair-trade cocoa to the next level. Unlike other companies selling fair-trade chocolates, Divine returns a share of their profits to the farmers in their supply chain. Divine's largest shareholder group is Kuapa Kokoo, a fair-trade cocoa cooperative. Cocoa farmers who belong to this group not only receive a fair-trade price for their cocoa but also receive dividends from the profits of Divine Chocolate.[39]

Case Questions

1. While Divine Chocolate has embraced the concept of fair trade, their products are not organic. On their website, they argue that purely organic production methods could result in greater instability in production because cocoa is very disease-prone. Do you think that Divine has an ethical obligation to require farmers to become organic? Why or why not?
2. How would you describe Divine Chocolate's approach to social responsibility? How do they balance their responsibilities to their stakeholders?
3. Do you pay attention to fair-trade products in your own purchasing behavior? For what kinds of products might you be willing to pay a premium price to help those who produce the ingredients?
4. Under what circumstances might fair trade actually cause harm? To whom? At what point would fair-trade trade-offs no longer be acceptable?

You Make the Call

Turbulence in the Air

1. Identify the major stakeholders that have a vested interest in Boeing. What does the opening case say about each one?
2. How would you assess the CEO compensation for both the departed and the new Boeing CEO?
3. In your opinion, how do the ethical practices and social responsibility portrayed by Boeing compare to those of most other large businesses?
4. Boeing and the Boeing Foundation donate upward of a quarter billion dollars each year to social and community causes. How do you reconcile this with the behaviors described previously?